

Top 5 Mistakes When Setting Up a Business in Dubai

Establishing a business in Dubai is a thrilling experience. Due to its geographical position, business-friendly rules, and strong financial market, the UAE is still a magnet for business enthusiasts from around the world.

Yet, based on our experience as a professional document clearing company with many years of service to startups across the UAE, we've witnessed a number of blunders committed by business owners during the establishment process.

Here are the Top 5 blunders to avoid during the business establishment procedure:

1. Choosing the Wrong Business Structure

One of the biggest mistakes is choosing the wrong legal structure. In the UAE, you have the option of choosing between the following:

- Mainland Company
- Free Zone Company
- Offshore Company

Each of these structures has its own restrictions in terms of ownership, visas, and operations. For example, the Dubai Department of Economy and Tourism (Mainland) allows trading in the entire UAE, whereas Free Zone Companies are restricted to specific jurisdictions unless trading through a distributor.

Tip: Always choose a structure that suits your long-term growth strategy.

2. Selecting Incorrect Business Activities

Each trade license in Dubai is issued on the basis of certain approved activities. Selecting the wrong business activities can lead to the following consequences:

- Rejection of the trade licence
- Imposition of fines and penalties
- Restrictions on banking
- Delays in visa approval

It is common for many entrepreneurs to underestimate the complexity of activity classifications in Dubai.

Tip: It is always better to consult professionals who know about activity codes.

3. Ignoring Legal Documentation Requirements

Documentation is the foundation on which a business in Dubai is established. Failure to comply with documentation requirements can lead to a considerable delay in the process.

The issues that may occur in this step are:

- Inaccurate Memorandum of Association (MOA)
- Incomplete passport copies
- No NOC (No Objection Certificate)
- Errors in visa forms

The government authorities are very particular about compliance, and any minor discrepancies may lead to a considerable delay in the process.

Tip: **Lizaz** professional document-clearing services can save you from making mistakes in the first attempt.

4. Underestimating Visa and Immigration Procedures

New business owners often think that the issuance of the investor visa is a done deal once the licence is acquired. However, the reality is the following:

- Establishment card registration
- Issuance of entry permits
- Medical fitness test
- Application for Emirates ID
- Stamping of the visa

There is a particular way in which the General Directorate of Residency and Foreigners Affairs has to do things.

Not doing things the way they want them done may cause you to pay a fine or have your visa cancelled.

Tip: Plan your visa application with your company registration.

5. Trying to Handle Everything Alone

Although the process of business setup in Dubai is simplified, the government portals and approvals can be a daunting task, especially for a new entrepreneur.

If you decide to go the DIY route, you might end up facing the following:

- Delays

- Rejections
- Additional government fees
- Miscommunication

Working with a reliable document clearing house will not only save you time and effort but also guarantee full compliance with UAE regulations.

Final Thoughts

Dubai is one of the best places in the world to start your own business. But only if you get it right. By avoiding these common mistakes, you may end up saving a lot of time and money. As a trusted document clearing company in Dubai, we specialise in:

- Company formation (Mainland & Free Zone)
- Trade licence
- Visa and immigration
- PRO services
- Government documentation clearance

If you're planning to start your own business in Dubai, guidance can make all the difference.